IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

CA (CAA) 77/BB/2017

Under Section 230 to 232 of Companies Act, 2013

Order delivered on 19th DECEMBER2017.

IN THE MATTER OF SCHEME OF AMALAGAMATION & ARRANGEMENT
IN THE MATTER OF
STRUMSOFT INDIA PRIVATE LIMITED
AND
RAZORSIGHT SOFTWARE PRIVATE LIMITED
AND
SINGLETUST SOLUTIONS INDIA PRIVATE LIMITED
WITH
SYNCHRONOSS TECHNOLOGIES INDIA PRIVATE LIMITED

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)

Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

M/s Strumsoft India Private Limited
1670, 18th Cross,
M.C.Layout, Vijaynagar,
Banglore 560040 **Applicant No 1/Transferor Company No.1**

Razorsight Software Private Limited
Elixir #100,4th B Cross, 5th Block,
Kormangala Industrial Layout,
Banglore 560095 **Applicant No 2/Transferor Company No.2**

Singletusk Solutions India Private Limited
A Wing, 3rd Floor, Divyashree Chambers 11,
Of Shaughnessy Road,
Banglore 560025 **Applicant No 3/Transferor Company No.3**

Synchronoss Technologies India Private Limited
6th & 7th Floor, Subramanya Arcade,
Tower B, No.12, Bannerghatta Road,
Banglore 560029 **Applicant No.4/Transferee Company**

For the Petitioner (s) 1. Arif khan Makki, Advocate for Petitioners.

Per: Hon,ble Shri. Ashok Kumar Mishra, Member (Techical)-Author

Heard on: 16.11.2017 and 29.11.2017.

ORDER

This Joint Company Application is filed on behalf of the Applicant Companies i.e. Applicant/Transferor Companies 1 to 3 and 4th Applicant/Transferee Companies, praying to order for dispensing with convening of meeting(s) of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the respective Applicant Companies for purposes of considering the scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

The Applicant Companies seek an order for dispensing the convening of meeting(s) of the Equity shareholders, secured creditors and Unsecured Creditors of each of the Applicant Companies for purposes of considering the scheme of Amalgamation of M/s **Strumsoft India Private Limited (1st Applicant/Transferor Company) and M/s Razorsight Software Private Limited (2nd Applicant/Transferor Company) and Singletusk Solutions India Private Limited (3rd Applicant/Transferor Company) and Synchronoss Technologies India Private Limited (4th Applicant/Transferee Company).** The original scheme of arrangement is shown as **Annexure-F** to the Petition.

The 1st Applicant/Transferor Company was incorporated on 02.01.2009 under the name and style as STRUMSOFT INDIA PRIVATE LIMITED and having its Registered office at No. 1670, 18th Cross, M.C.Layout, Vijaynagar, Banglore-560040.

The main objects of the First Applicant/Transferor Company's as set out in its memorandum of Association interalia includes, as follows :-

1. To carry on in India or elsewhere the business of software development, data processing , validation and procure of software and to engage in the purchase, sale, transfer, import, export, distribution, acquisition , operation, assemble, installation, development, programming, research, testing , training, education,

maintenance, recording, alteration, conversion, improvement, upgradation and provision of consultancy services related to software development and data processing.

2. To promote, develop, design, engineer, demonstrate, optimize, commercialise and provide systems engineering services and market news as well as indigenous technologies and information technology systems which can save time and reduce cost in the IT sector establish and operate development and testing facilities for such IT based technologies, to plan promote and organize integrated and efficient project management orientation to technology development activities relating to IT in all aspects including planning, investigations, research and design and to provide structure and management to meet the demands of providing and commercializing new technologies.

The copy of the memorandum of articles of Association of the First Applicant/Transferor Company is shown as **Annexure-A** to the petition.

As per the audited Balance sheet of the First Applicant/Transferor Company as on 31st March 2016, the share capital is as follows.

PARTICULARS	**AMOUNT(in Rs)**
Authorized share capital	
50,000 Equity shares of Rs. 10 each	500,000
TOTAL	**500,000**
Issued, subscribed and paid up share Capital	
10,000 Equity shares of Rs. 10 each	100,000
TOTAL	**100,000**

The copy of the audited balance sheet as on 31st march 2016 is produced as **Annexure A1** to the petition.

The second Applicant/Transferor Company **M/s Razorsight Software Private Limited** was incorporated on 17.06.2009 and having its Registered office at NA, Elixir #100,4th B Cross, 5th Block, Kormangala Industrial Layout, Banglore 560095.

The copy of the memorandum of articles of Association of the Second Applicant/Transferor Company are as shown as **Annexure-B** to the petition. The main objects of the Company's as set out in its memorandum of Association interalia includes, as follows

1. To carry on the business of designing, developing and implementing software systems, program and solutions for India and foreign clients, as well as provide consultancy for overall system designing, developing and implementation.

2. To carry on the business of computer services such as data processing, hiring out machine time, assisting, operating and supervising the operation of data processing division of other companies and for that purpose undertake staff recruitment, development and training and provide assistance in handing and maintenance equipment and also to undertake BPO work for India and foreign companies at own or client location.

The share capital of Second Applicant/Transferor Company as on 31st March 2016 is as under

PARTICULARS	**AMOUNT (in Rs.)**
Authorized share Capital	
50,000 Equity shares of Rs.10 each	500,000
TOTAL	**500,000**
Issued, subscribed and Paid-up Share Capital	
10,000 Equity Shares of Rs.10 each	100,000
TOTAL	**100,000**

The Third Applicant/Transferor Company **M/s Singletusk Solution India Private Limited** was incorporated on 12.07.2004 and having its Registered office at A Wing, 3rd Floor, Divyashree Chambers 11, O Shaughnessy Road, Banglore-560025.

The copy of the memorandum of articles of Association of the third Applicant/Transferor Company are as shown as **Annexure-C** to the petition. The main objects of the Company as set out in its memorandum of Association interalia includes, as follows

1. To promote, encourage, establish, design, develop, maintain, manage, operate, market and sell in India or abroad the business of software development and implementation.

2. To carry the business of software consultancy, software solutions, electronic data processing and processing centre, e-commerce, web solution, web telecasting, advertising, import, export and deal in software and computer peripherals and other allied activity for all type of services and industries.

The share capital of third Applicant/Transferor Company as on 31st March 2016 is as under

PARTCULARS	AMOUNT (in Rs.)
Authorized Share Capital	
1,000,000 Equity Shares of Rs. 10 each	1,000,000
TOTAL	**1,000,000**
Issued, subscribed and Paid-up Share Capital	
866,717 Equity Shares of Rs.10 each	8,667,170
TOTAL	**8,667,170**

The Fourth Applicant/Transferee Company **M/s Synchronoss Technologies India Private Limited** was incorporated on 02.07.1999 and having its Registered office at 6th and 7th Floor, Subramanya Arcade, Tower B, No.12, Bannerghatta Road, Banglore-560029

The copy of the memorandum of articles of Association of the Fourth Applicant/Transferee Company are as shown as **Annexure-D** to the petition. The main objects of the Company's as set out in its memorandum of Association interalia includes, as follows:

1. To carry out software development, data processing and procure software and to engage in the purchase, sale, transfer, import, export, distribution, acquisition, marketing , hire, license, use, disposal, operation, assembly, installation, development , programming, research, testing, training, education, maintenance, recording, alteration, conversion, improvement, upgradation, provision of consultancy services relating to software development and data processing.

2. To engage in the business of software related activities including programming, design, development, licensing, installation, servicing, maintenance research and development, integration, solutions, sale , export, import, distribution, marketing or to workup on or generally to deal in software including software for the purpose of the internet, intranets, networks, system software, management solutions, application software, enterprise management, systems management, interoperability products, visual graphics, internet intranet security products etc. including the provision of these activities for industries sectors relating to telecommunications, financial services, insurance, manufacturing and education.

3. To provide consulting services including an analysis of markets, conducting of feasibility studies on telecommunication projects, training of personnel to provide service related to the telecommunication industry, to develop, sell and license materials, books, manuals or other associated literature/documentation relating to telecommunication software services and any other activity which is incidental to the above services.

4. To conduct conferences, seminars, courses, provide consultancy services, training, education, development, or to engage in all relating to telecommunications services and to develop, sell and license materials, books, manuals, or other associated literature. Documentation and any other activity which is connected with the above.

The share capital of Fourth Applicant/Transferee Company as on 31st March 2016 is as under :

PARTICULARS	AMOUNT(in Rs)
Authorized Share Capital	
1,000,000 Equity Shares of Rs.10 each	1,000,000
TOTAL	**1,000,000**
Issued, subscribed and Paid-up Share Capital	
866,717 Equity Shares of Rs.10 each	8,667,170
TOTAL	**8,667,170**

The Board of Directors of the Transferor Companies and Fourth Applicants Transferee Company have passed resolution at their Respective meetings held 01st April 2017 by virtue of which M/s **Strumsoft India Private Limited (1st Applicant/Transferee Company) and M/s Razorsight Software Private Limited (2nd Applicant/Transferor Company) and Singletusk Solutions India Private Limited (3rd Applicant/Transferor Company)** are proposed to get merged with **M/s. Synchronoss Technologies India Private Limited ,Transferee Company**. The copies of the Board Resolution of the Applicant companies approving the scheme of Amalgamation are shown as **Annexure E** to **E3.**

We have heard the Counsel appearing for the Applicant Companies who have filed the joint application to dispense with convening of meeting of Equity shareholders, secured and unsecured Creditors of the respective applicant companies for considering the scheme of Amalgamation and seen the followings averments mainly made in the petition and consider the case on the following grounds:

a) There are no secured and unsecured Creditors in the Transferor Companies. The question of convening and holding meeting of Secured Creditors for approving to the Scheme of Amalgamation of the Transferor Companies with the Transferee Company therefore does not arise.

b) Scheme for Amalgamation does not in any way violate, override or circumscribe any provisions of the Companies Act, 2016 and any rules, regulations and guidelines made under the Companies Act, 2013 and as submitted. No investigation proceedings against the Applicant Companies under Section 235 to

251 (to the extent not repealed) of the Companies Act, 1956 and section 206 to 229 (to the extent notified and enforced) of the Companies Act, 2013, are pending.

c) Further, as submitted, there is no any winding up petitions are pending against any of the Applicant Companies before the Hon'ble High Court of Karnataka or before this Hon'ble Tribunal where the registered office of the Applicant Companies is situated. Further, no Insolvency proceedings are initiated against the Applicant Companies before this Hon'ble Tribunal.

We have seen the Certificate issued by the Chartered Accountant pertaining to respective Applicant Companies wherein mentioning that there are no secured or unsecured creditors either in the Transferee Company or in the Transferor Companies. Further, perused the affidavit filed by Shri Manu Thomas, Authorised Signatory of all the Petitioner Companies, stating that there are no secured creditors in the Transferor Companies and Transferee

Company. Hence, the question of holding the meeting of secured creditors for approving to the Scheme of Amalgamation of the Transferor Companies with the Transferee Company therefore does not arise in case of the Transferor Companies and the Transferee Company and prayed to dispense with the convening of meeting.

Therefore, considering all the above aspects, the question of convening the meeting of the secured and unsecured creditors seems to be does not arise. Accordingly, we pass the following:

The joint application filed by the Petitioner Companies is allowed and holding of meeting(s) of Equity Shareholders, Secured Creditors and Unsecured Creditors of the respective Companies are dispensed with. In any eventuality, when the Applicant Companies approaches this Tribunal for seeking approval of the scheme, it would be open for any persons who are interested in the Scheme of Arrangement to put forth their contentions before this Tribunal.

19/12/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

19.12.17

(RATAKONDA MURALI)
MEMBER, JUDICIAL.